PIRANHA PROFITS

LESSON 5

Price Action Manipulation Execution Signals

BY: ALSON CHEW

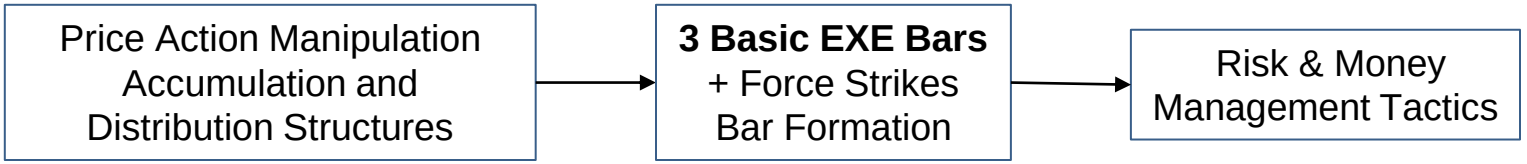
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UNDERSTANDING PRICE ACTION BAR FORMATION

Before we begin our price action analysis on standard bars, it is important to note that we use standard bar formations as a form of trade execution/confirmation sign (**EXE Sign**).

EXECUTION SIGN (EXE) IN THE RIGHT CONTEXT

✔ Price action standard bars must be used in the **right context** as a **"signal to take action"** upon it's formation.



✔ For upside continuation and bottom reversals, we look for **either one** of the 3 bullish execution signs:

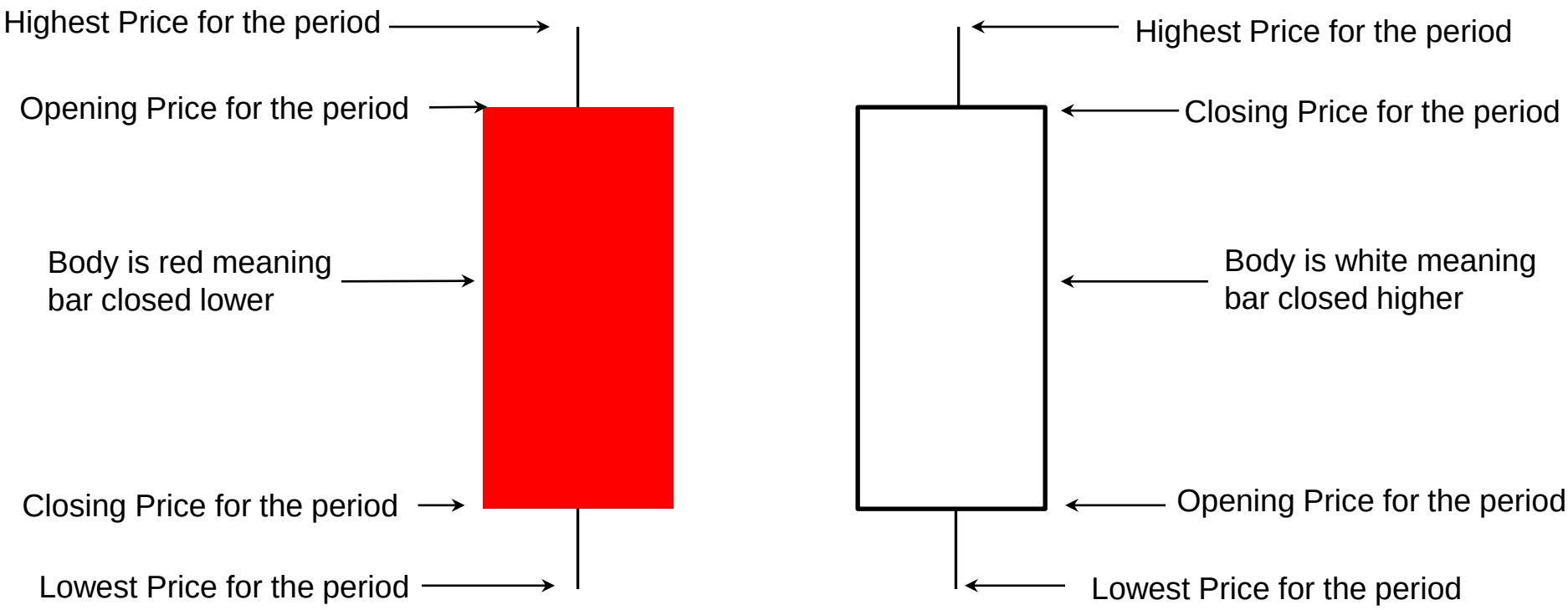
- Bullish PIN Bar
- Bullish Mark Up Bar
- Bullish Ice Cream Bar

✔ For downside continuation and top reversals, we look for **either one** of the 3 bearish execution signs:

- Bearish PIN Bar
- Bearish Mark Down Bar
- Bearish Ice Cream Bar

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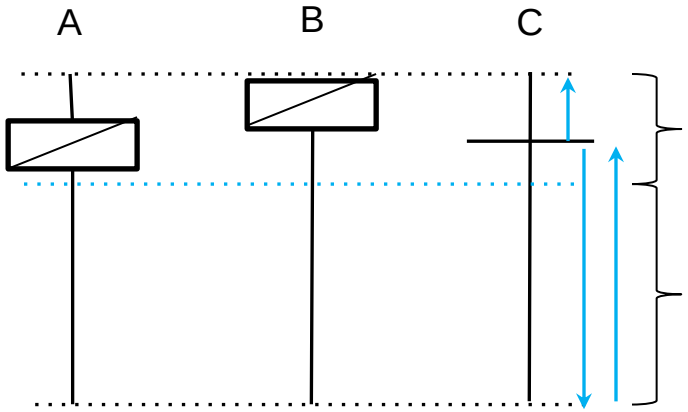
UNDERSTANDING PRICE ACTION BAR FORMATION



NOTE: HIGH – LOW IS THE RANGE OF THE BAR

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THE 3 STANDARD BARS ANALYSIS – BULLISH PIN BAR





CRITERIA

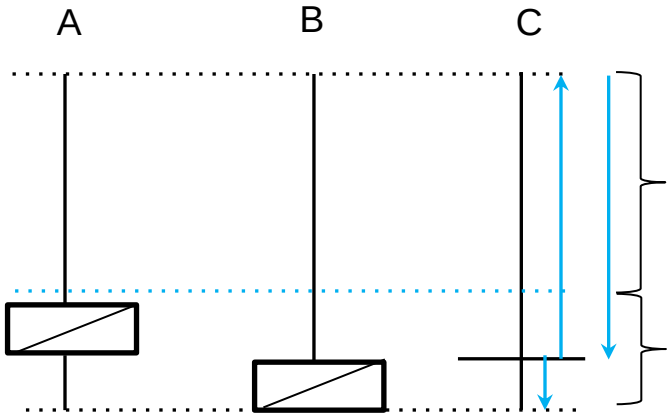
- Open and Close price of bar is within or equal to **top 1/3** of bar range.
- Bar body colour can be red or green

SIGNIFICANCE

- Market maker attempts to force an impression of selling bar (to trap retail sellers) but reverses up to close at **top 1/3 range** of bar.
- The trapping of retail **sellers** is to accumulate buy orders to turn his net book position long for eventual obvious price rise movement.

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THE 3 STANDARD BARS ANALYSIS – BEARISH PIN BAR





CRITERIA

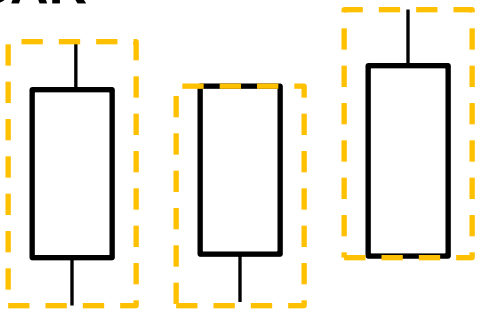
- Open and Close price of bar is within or equal to **bottom 1/3** of bar range.
- Bar body colour can be red or green

SIGNIFICANCE

- Market maker attempts to force an impression of buying bar (to trap retail buyers) but reverses down to close at **bottom 1/3 range** of bar.
- The trapping of retail **buyers** is to distribute sell orders to turn his net book position short for eventual obvious price down movement.

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THE 3 STANDARD BARS ANALYSIS – BULLISH MARK UP BAR



CRITERIA

- Bullish body of the bar is **at least 2/3** of bar range.

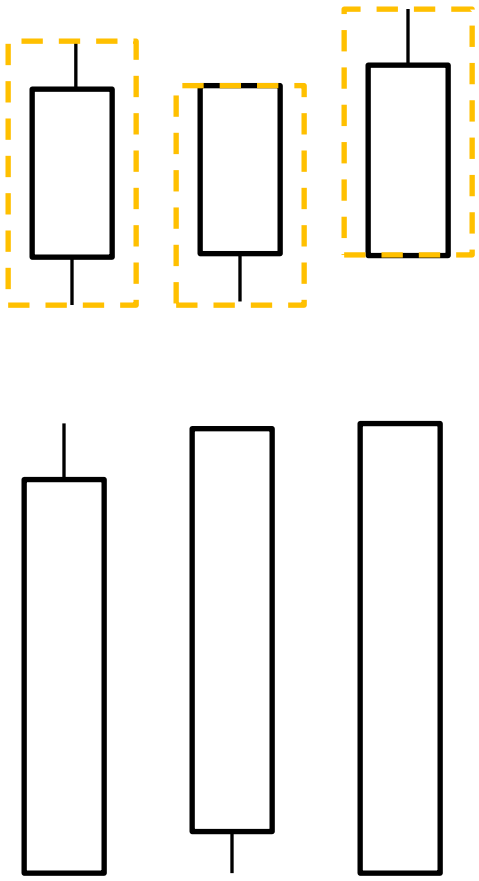
SIGNIFICANCE

- Without tail: Market maker attempts to **force accumulate** in price rise direction
- With tail: Market maker attempts to force a **minimal** false selling impression on retail sellers but quickly force accumulate in price rise direction



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THE 3 STANDARD BARS ANALYSIS – FLUSH UP BAR



FLUSH UP BARS AS BULLISH MARK UP BARS

CRITERIA

- Fulfill Bullish Mark Up Bar criteria
- Larger bar range **relative** to preceding series of bars

SIGNIFICANCE

- The deliberate quicker attempt to force accumulate upside is to create a buying impression to trick retailers to chase long (afraid of missing the upside boat)

- By moving quickly upside, the market maker attempts to trigger the Buy Stop Orders which he saw at certain price levels

- The formation of flush up bar is **BEARISH** to a trader and one should consider taking some/all long profits off the table.

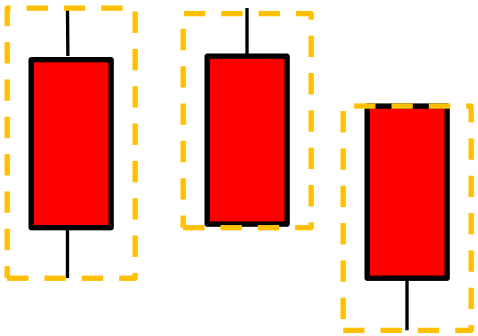
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THE 3 STANDARD BARS ANALYSIS – FLUSH UP BAR



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THE 3 STANDARD BARS ANALYSIS – BEARISH MARK DOWN BAR



CRITERIA

- Bearish body of the bar is **at least 2/3** of bar range.

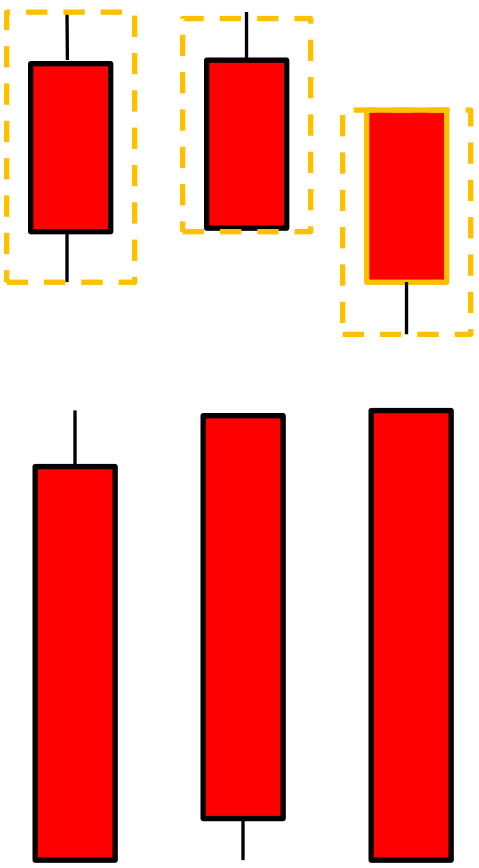
SIGNIFICANCE

- Without tail: Market maker attempts to **force distribute** in price down direction
- With tail: Market maker attempts to force a **minimal** false buying impression on retail buyers but quickly force distribute in price down direction



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THE 3 STANDARD BARS ANALYSIS – BEARISH MARK DOWN BAR



FLUSH DOWN BARS AS BEARISH MARK DOWN BARS

CRITERIA

- Fulfill Bearish Mark Down Bar criteria
- Larger bar range **relative** to preceding series of bars

SIGNIFICANCE

- The deliberate quicker attempt to force distribute downside is to create a selling impression to trick retailers to chase short (afraid of missing the downside boat and induces panic selling)

- By moving quickly downside, the market maker attempts to trigger the Sell Stop Orders which he saw at certain price levels

- The formation of flush down bar is **BULLISH** to a trader and one should consider taking some/all short profits off the table.

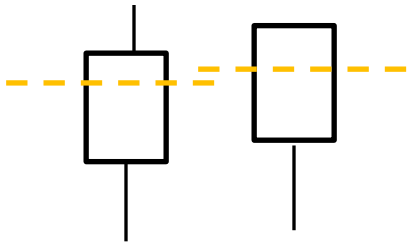
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THE 3 STANDARD BARS ANALYSIS – BEARISH MARK DOWN BAR



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THE 3 STANDARD BARS ANALYSIS – BULLISH ICE CREAM BAR



CRITERIA

- Bullish body of the bar is **at about 1/2** of bar range.
- Close of Bullish bar must be at **least 1/3** of bar range top.

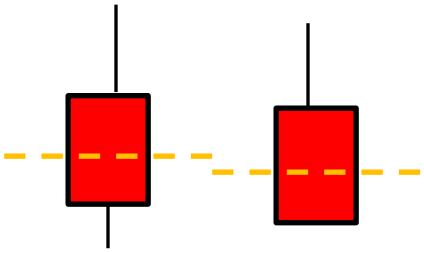
SIGNIFICANCE

- Market maker attempts to force a **minimal** false selling impression on retail sellers but quickly force accumulate in price rise direction



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THE 3 STANDARD BARS ANALYSIS – BEARISH ICE CREAM BAR



CRITERIA

- Bearish body of the bar is **about 1/2** of bar range.
- Close of Bearish bar must be at **least 1/3** of bar range bottom.

SIGNIFICANCE

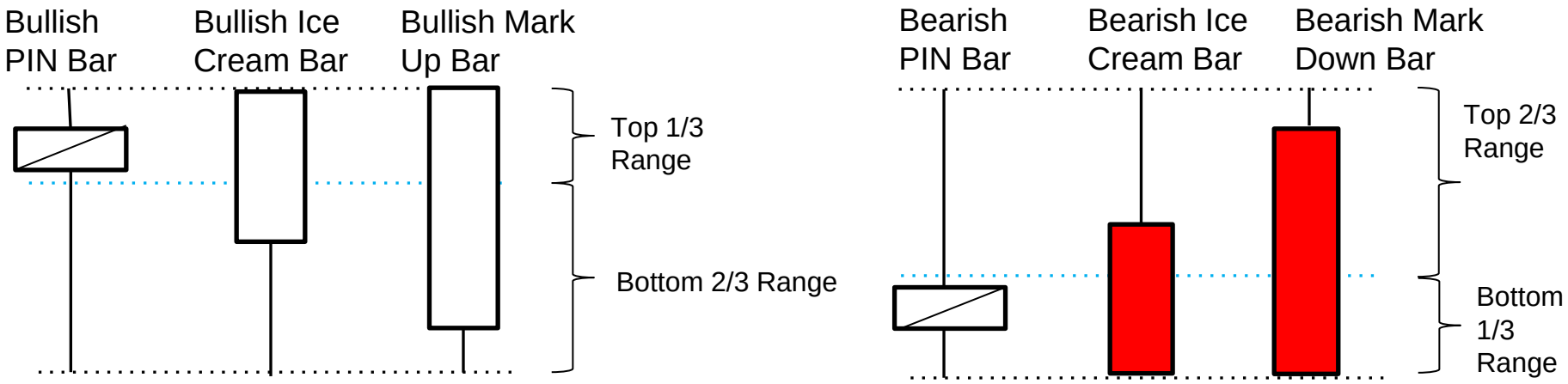
- Market maker attempts to force a **minimal** false buying impression on retail buyers but quickly force distribute in price decline direction



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UNDERSTANDING PRICE ACTION BAR FORMATION

SUMMARY OF THE 3 STANDARD BARS



Flush up bar is **visually at least 1.5 times normal bar range** and must be **visually "outstanding".** A guide is that when in doubt, usually it is not outstanding and most likely still considered mark up bar. A flush up bar is bearish to a trader as opposed to mark up bar which is bullish to a trader.

Flush down bar is **visually at least 1.5 times normal bar range** and must be **visually "outstanding".** A guide is that when in doubt, usually it is not outstanding and most likely still considered mark down bar. A flush down bar is bullish to a trader as opposed to mark down bar which is bearish to a trader.

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PIRANHA PROFITS

LESSON 5

Price Action Manipulation Execution Signals

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